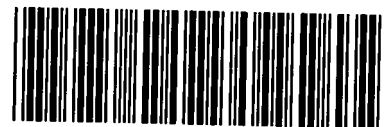


Alpha FMC Bidco Limited

Annual report and financial statements
Registered number 09928343
31 March 2023

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Contents

Company information	2
Strategic report	3
Directors' report	5
Statement of Directors' responsibilities in respect of the strategic report, Directors' report and the financial statements	7
Independent auditor's report to the members of Alpha FMC Bidco Limited	8
Profit and loss account	11
Balance sheet	12
Statement of changes in equity	13
Notes to the financial statements	14

Company information

Directors	JC Paton GA Cook (Appointed 30 June 2022) ENB Fraser (Resigned 31 March 2023)
Company number	09928343
Registered office	60 Gresham Street London EC2V 7BB
Auditor	KPMG LLP EastWest Tollhouse Hill Nottingham NG1 5FS
Banker	Lloyds Bank plc 10 Gresham Street London EC2V 7AE

Strategic report

Business review

The Company functions as an intermediate holding entity within the wider Group¹. As at 31 March 2023 (FY 23²), the Company holds net assets of £5,051,000 (FY 22: £3,279,000). The Company's profit for the year was £20,466,000 (FY 22: £11,097,000), derived from intercompany services provided and recharged to Group companies and dividend income received from the Company's subsidiary. During the year, an interim dividend in respect of the year ended 31 March 2023 of £18,800,000 (FY 22: £8,500,000) was paid to the Company's parent, Alpha FMC Midco 2 Limited, to facilitate the Group dividend payments made by the Company's ultimate parent, Alpha Financial Markets Consulting Plc, to its shareholders. This dividend was facilitated by the receipt of a dividend of £19,800,000 (FY 22: £12,500,000) from the Company's directly owned subsidiary, Alpha FMC Group Holdings Limited.

Key performance indicators

Working capital management and the sufficiency of assets held by the Company's subsidiaries is a key indicator that is reviewed on a regular basis to monitor cashflow, liquidity and the recovery of trade receivables. The Company itself has a strong balance sheet with net assets of £5,051,000 (FY 22: £3,279,000).

Each month the Directors review the management accounts for each of the Company's subsidiaries and compare actual performance against budget. Costs and utilisation are also reviewed to monitor profitability.

Principal risks and uncertainties

The performance of the Company's subsidiaries is subject to only limited risk in the short and medium term as the future pipeline of work is good. The Company's subsidiaries continue to generate substantial cash after retaining a proportion of profits to fund increased working capital requirements resulting from growth. Management is mindful of the current macro uncertainty and recessionary environment, which include a lengthening sales cycle and higher levels of competition. Management continues to monitor the market and operate conservative cash management policies.

Future developments

The Company is expected to continue to operate as an intermediate holding company for the Group. No other future developments are foreseen by the Directors at the balance sheet date.

Section 172 statement

Under Section 172(1) of the Companies Act 2006, a director of a company must act in the way he or she considers, in good faith, would be most likely to promote the success of the Company for the benefit of its members as a whole, and in doing so have regard (amongst other matters) to:

- the likely consequence of any decision in the long term;
- the interests of the Company's employees;
- the need to foster the Company's business relationships with suppliers, customers and others;
- the impact of the Company's operations on the community and the environment;
- the desirability of the Company maintaining a reputation for high standards of business conduct; and
- the need to act fairly as between members of the Company.

The following disclosure describes how the Directors have had regard to the matters set out in Section 172(1)(a) to (f) and forms the Directors' statement under section 414CZA of the Companies Act 2006. The Company is a holding company and does not have any clients itself, therefore the disclosure below relates to the Company and its subsidiaries (as listed in note 10 to the financial statements).

The Directors remain committed to engaging with all stakeholders and considering their interests when making any strategic decisions.

¹ Group refers to the Company's ultimate parent, Alpha Financial Markets Consulting plc, and its subsidiaries.

² FY 23 is the financial year covering the 12 months to 31 March 2023. By comparison, FY 22 is the previous financial year covering the 12 months to 31 March 2022.

Strategic report (continued)

Engagement with key stakeholders

The Board considers its key stakeholders to be its employees, clients and the communities in which the Company and its subsidiaries operate. The Board also recognises other stakeholder groups including vendors and suppliers, industry bodies and competitors with which Alpha works or associates in the marketplace. Engaging effectively with these stakeholders strengthens Alpha's business relationships and decision and therefore supports its long-term success.

Employees

Attracting, retaining and developing the best talent is essential to Alpha's business success. Alpha is committed to providing a highly rewarding place to work, and to maintaining a strong, meritocratic and inclusive culture that recognises the importance of our people and encourages open communication. To achieve this, there is a strong emphasis on interaction, open communication and the exchange of proactive insights from the employee base. Employee feedback has always been a significant component of that picture. An inclusive environment for all employees is encouraged through the prevalence of the Diversity & Inclusion programme, and employees are incentivised to engage further with the wider objectives of the business through a generous profit share scheme, and a share incentive plan available to senior management.

Clients

The success of the Company and its subsidiaries is based on delivering a proposition that helps its clients address their challenges and capitalise on their opportunities. Alpha works hard at developing and sustaining long-term client relationships, which it supports through its global team of consultants and by extending the range of services it offers and the types of projects it carries out.

Communities

Alpha is a growing, profitable business, committed to fostering the same growth and success within the communities in which it operates, which includes supporting organisations that are relevant to or active in those communities. As part of this engagement, Alpha also considers how to maximise its corporate responsibility and the positive environmental and social impacts of its activities, and to minimise the downsides, which will give Alpha a solid baseline for developing relevant action plans and targets.

Please refer to pp. 30-33 of the Annual Report & Accounts 2023 of the ultimate parent company, Alpha Financial Markets Consulting plc, for further details on the above key stakeholders, and the Group's approach to engagement with each class of stakeholder.

Key Board decisions during the year

The Directors consider the following to be the key decisions and considerations they have made in the year to 31 March 2023:

Decision	Considerations
Issued the FY 22 Annual Report and financial statements to shareholders.	To ensure compliance with the requirements of the Companies Act 2006 and the relevant accounting framework.
The Board approved the appointment of one additional Director.	To ensure the composition of the Board enables the ongoing effective management and oversight of the Company.
The Board agreed the FY 23 interim dividend payable to the Company's parent, Alpha FMC Midco 2 Limited.	To facilitate the payment of Group dividends to the shareholders of the Company's ultimate parent, Alpha Financial Markets Consulting plc.

By order of the Board.



Greg A Cook
Director

8 November 2023

Directors' report

The Directors present their report and the audited financial statements for the year ended 31 March 2023.

Principal activities

The principal activities of the Company are to hold investments in subsidiaries in Alpha Group companies and the provision of group management services to Alpha Group companies.

Results and dividend

The results for the year are set out in the Strategic Report on p. 3 and in the profit and loss account on p. 11. The Directors consider the current state of affairs of the Company to be satisfactory. During the year, an interim dividend in respect of the year ended 31 March 2023 of £18,800,000 (FY 22: £8,500,000) was paid to the Company's parent, Alpha FMC Midco 2 Limited, to facilitate the Group dividend payments made by the Company's ultimate parent, Alpha Financial Markets Consulting plc, to its shareholders. The Directors have not recommended the payment of a final dividend (FY 22: £nil).

Directors

The Directors who held office during the year and at the date of this report were as follows:

JC Paton

GA Cook (Appointed 30 June 2022)

ENB Fraser (Resigned 31 March 2023)

Political contributions

The Company made no political donations or incurred any political expenditure during the year (FY 22: nil).

Employee involvement

Details of how the Company and its subsidiaries engage with employees are set out in the Section 172 statement of the strategic report on p. 3.

Alpha is a Disability Confident Employer. It is Alpha's policy to give full and fair consideration to all applications for employment including from disabled people, having regard to their abilities and aptitudes. Full consideration is given to continuing the employment of staff who become disabled, including considering them for other reasonable positions and arranging appropriate training where required. Alpha aims to provide an inclusive environment for all employees, regardless of sex, marital status, race, nationality, age, sexual orientation or religion.

Engagement with suppliers and customers

The Directors note the importance of fostering strong relationships with customers and suppliers through open communication and having regard for these relationships in strategic decisions made relating to the Company and its subsidiaries.

Environmental reporting

In accordance with the Companies Act 2006 and HM Government's 'Environmental Reporting Guidelines', the Company has not repeated those disclosures required in relation to the Company's environmental reporting responsibilities (including Streamlined Energy and Carbon reporting) on the basis that this information is available on Alpha's website in the Group's Annual Report & Accounts 2023 on pp. 40-41.

Disclosure of information to auditor

The Directors who held office at the date of approval of this Directors' report confirm that, so far as they are each aware, there is no relevant audit information of which the Company's auditor is unaware, and each Director has taken all the steps that they ought to have taken as a Director to make themselves aware of any relevant audit information and to establish that the Company's auditor is aware of that information.

Directors' report (continued)

Auditor

Pursuant to Section 487 of the Companies Act 2006, the auditor will be deemed to be reappointed and KPMG LLP will therefore continue in office.

By order of the Board.



Greg A Cook
Director

60 Gresham Street
London
EC2V 7BB

8 November 2023

Statement of Directors' responsibilities in respect of the Strategic report, Directors' report and the financial statements

The directors are responsible for preparing the Strategic Report, the Directors' Report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law they have elected to prepare the financial statements in accordance with UK accounting standards and applicable law (UK Generally Accepted Accounting Practice), including FRS 101 Reduced Disclosure Framework.

Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the Company and of the profit or loss of the Company for that period. In preparing these financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and estimates that are reasonable and prudent;
- state whether applicable UK accounting standards have been followed, subject to any material departures disclosed and explained in the financial statements;
- assess the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern; and
- use the going concern basis of accounting unless they either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the Company's transactions and disclose with reasonable accuracy at any time the financial position of the Company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are responsible for such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error, and have general responsibility for taking such steps as are reasonably open to them to safeguard the assets of the Company and to prevent and detect fraud and other irregularities.

Independent auditor's report to the members of Alpha FMC Bidco Limited

Opinion

We have audited the financial statements of Alpha FMC Bidco Limited ("the Company") for the year ended 31 March 2023 which comprise the balance sheet, profit and loss account, statement of changes in equity and related notes, including the accounting policies in note 1.

In our opinion the financial statements:

- give a true and fair view of the state of the Company's affairs as at 31 March 2023 and of its profit for the year then ended;
- have been properly prepared in accordance with UK accounting standards, including FRS 101 *Reduced Disclosure Framework*; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) ("ISAs (UK)") and applicable law. Our responsibilities are described below. We have fulfilled our ethical responsibilities under, and are independent of the Company in accordance with, UK ethical requirements including the FRC Ethical Standard. We believe that the audit evidence we have obtained is a sufficient and appropriate basis for our opinion.

Going concern

The directors have prepared the financial statements on the going concern basis as they do not intend to liquidate the Company or to cease its operations, and as they have concluded that the Company's financial position means that this is realistic. They have also concluded that there are no material uncertainties that could have cast significant doubt over its ability to continue as a going concern for at least a year from the date of approval of the financial statements ("the going concern period").

In our evaluation of the directors' conclusions, we considered the inherent risks to the Company's business model and analysed how those risks might affect the Company's financial resources or ability to continue operations over the going concern period.

Our conclusions based on this work:

- we consider that the directors' use of the going concern basis of accounting in the preparation of the financial statements is appropriate;
- we have not identified, and concur with the directors' assessment that there is not, a material uncertainty related to events or conditions that, individually or collectively, may cast significant doubt on the Company's ability to continue as a going concern for the going concern period.

However, as we cannot predict all future events or conditions and as subsequent events may result in outcomes that are inconsistent with judgements that were reasonable at the time they were made, the above conclusions are not a guarantee that the Company will continue in operation.

Fraud and breaches of laws and regulations – ability to detect

Identifying and responding to risks of material misstatement due to fraud

To identify risks of material misstatement due to fraud ("fraud risks") we assessed events or conditions that could indicate an incentive or pressure to commit fraud or provide an opportunity to commit fraud. Our risk assessment procedures included:

- Enquiring of directors as to the Company's high-level policies and procedures to prevent and detect fraud, as well as whether they have knowledge of any actual, suspected or alleged fraud.
- Reading Board minutes.
- Considering remuneration incentive schemes and performance targets for management and Directors.
- Using analytical procedures to identify any unusual or unexpected relationships.

We communicated identified fraud risks throughout the audit team and remained alert to any indications of fraud throughout the audit.

As required by auditing standards, we perform procedures to address the risk of management override of controls, in particular the risk that management may be in a position to make inappropriate accounting entries. On this audit we do not believe there is a fraud risk related to revenue recognition because there are no revenue transactions.

Independent auditor's report to the members of Alpha FMC Bidco Limited (continued)

We did not identify any additional fraud risks. We performed procedures including:

- Identifying journal entries to test based on risk criteria and comparing the identified entries to supporting documentation. These included unusual pairings with a credit or debit to an account below EBITDA, unusual journals with a credit or debit entry to cash.

Identifying and responding to risks of material misstatement due to non-compliance with laws and regulations

We identified areas of laws and regulations that could reasonably be expected to have a material effect on the financial statements from our general commercial and sector experience, and through discussion with the directors and other management (as required by auditing standards), and discussed with the directors and other management the policies and procedures regarding compliance with laws and regulations.

We communicated identified laws and regulations throughout our team and remained alert to any indications of non-compliance throughout the audit.

The potential effect of these laws and regulations on the financial statements varies considerably.

Firstly, the Company is subject to laws and regulations that directly affect the financial statements including financial reporting legislation (including related companies legislation), distributable profits legislation and taxation legislation, and we assessed the extent of compliance with these laws and regulations as part of our procedures on the related financial statement items.

Secondly, the Company is subject to many other laws and regulations where the consequences of non-compliance could have a material effect on amounts or disclosures in the financial statements, for instance through the imposition of fines or litigation. We identified the following areas as those most likely to have such an effect: anti-bribery and employment law recognising the financial nature of the Company's activities. Auditing standards limit the required audit procedures to identify non-compliance with these laws and regulations to enquiry of the directors and other management and inspection of regulatory and legal correspondence, if any. Therefore if a breach of operational regulations is not disclosed to us or evident from relevant correspondence, an audit will not detect that breach.

Context of the ability of the audit to detect fraud or breaches of law or regulation

Owing to the inherent limitations of an audit, there is an unavoidable risk that we may not have detected some material misstatements in the financial statements, even though we have properly planned and performed our audit in accordance with auditing standards. For example, the further removed non-compliance with laws and regulations is from the events and transactions reflected in the financial statements, the less likely the inherently limited procedures required by auditing standards would identify.

In addition, as with any audit, there remained a higher risk of non-detection of fraud, as these may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal controls. Our audit procedures are designed to detect material misstatement. We are not responsible for preventing non-compliance or fraud and cannot be expected to detect non-compliance with all laws and regulations.

Strategic report and directors' report

The directors are responsible for the strategic report and the directors' report. Our opinion on the financial statements does not cover those reports and we do not express an audit opinion thereon.

Our responsibility is to read the strategic report and the directors' report and, in doing so, consider whether, based on our financial statements audit work, the information therein is materially misstated or inconsistent with the financial statements or our audit knowledge. Based solely on that work:

- we have not identified material misstatements in the strategic report and the directors' report;
- in our opinion the information given in those reports for the financial year is consistent with the financial statements; and
- in our opinion those reports have been prepared in accordance with the Companies Act 2006.

Matters on which we are required to report by exception

Under the Companies Act 2006 we are required to report to you if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit

We have nothing to report in these respects.

Independent auditor's report to the members of Alpha FMC Bidco Limited (continued)

Directors' responsibilities

As explained more fully in their statement set out on page 7, the directors are responsible for: the preparation of the financial statements and for being satisfied that they give a true and fair view; such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error; assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern; and using the going concern basis of accounting unless they either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so.

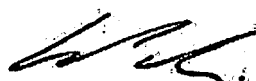
Auditor's responsibilities

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue our opinion in an auditor's report. Reasonable assurance is a high level of assurance, but does not guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of the financial statements.

A fuller description of our responsibilities is provided on the FRC's website at www.frc.org.uk/auditorsresponsibilities.

The purpose of our audit work and to whom we owe our responsibilities

This report is made solely to the Company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the Company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the Company and the Company's members, as a body, for our audit work, for this report, or for the opinions we have formed.



Craig Parkin (Senior Statutory Auditor)
for and on behalf of KPMG LLP, Statutory Auditor
Chartered Accountants
East West,
Tollhouse Hill
Nottingham NG1 5FS

10 November 2023

**Profit and loss account
for the year ended 31 March 2023**

	Note	Year ended 31 March 2023 £000	Year ended 31 March 2022 £000
Administration expenses	2,3,4	(14,267)	(12,166)
Other operating income	5	15,092	10,589
Operating profit/(loss)		825	(1,577)
Finance expense	6	(9)	-
Income from shares in Group undertakings	7	19,800	12,500
Profit before taxation		20,616	10,923
Taxation	8	(150)	174
Profit for the year		20,466	11,097

In both the current and preceding year, the Company made no acquisitions and had no discontinued operations.

There was no other comprehensive income in either the current or preceding year other than those disclosed in the profit and loss account, and therefore no separate statement of other comprehensive income has been presented.

The accompanying notes form part of these financial statements.

Balance sheet
As at 31 March 2023

	Note	£000	As at 31 March 2023 £000	£000	As at 31 March 2022 £000
Non-current assets					
Investments	10		77,378		77,378
Property, plant and equipment	11		96		77
Amounts owed by Group undertakings	12		81,843		71,960
			<u>159,317</u>		<u>149,415</u>
Current assets					
Trade and other receivables	12	28,825		13,931	
Deferred tax asset	9	187		-	
Corporation tax		22		5	
Cash at bank and in hand	13	2,256		123	
		<u>31,290</u>		<u>14,059</u>	
Current liabilities					
Trade and other payables	14	(183,950)		(157,847)	
Provisions	15	(1,565)		(1,803)	
Deferred tax liability	9	-		(4)	
		<u>(185,515)</u>		<u>(159,654)</u>	
Net current liabilities			<u>(154,225)</u>		<u>(145,595)</u>
Total assets less current liabilities			5,092		3,820
Non-current liabilities					
Other non-current liabilities	16		(41)		(541)
Net assets			<u>5,051</u>		<u>3,279</u>
Capital and reserves					
Issued share capital	17		20		20
Share premium			1,322		1,322
Other reserves			106		-
Retained earnings			3,603		1,937
Total shareholders' equity			<u>5,051</u>		<u>3,279</u>

The accompanying notes form part of these financial statements.

These financial statements were approved and authorised for issue by the Board of Directors on 8 November 2023. They were signed on its behalf by:



Greg A Cook
Director

Company registered number: 09928343

**Statement of changes in equity
for the year ended 31 March 2023**

	Issue share capital £000	Share premium £000	Other reserves £000	Retained earnings £000	Total shareholders' equity £000
As at 1 April 2021	20	1,322	-	(660)	682
Total comprehensive income for the period					
Profit for the period	-	-	-	11,097	11,097
Transactions with owners					
Dividends	-	-	-	(8,500)	(8,500)
As at 31 March 2022	20	1,322	-	1,937	3,279
Total comprehensive income for the period					
Profit for the period	-	-	-	20,466	20,466
Transactions with owners					
Dividends	-	-	-	(18,800)	(18,800)
Current tax recognised in equity	-	-	17	-	17
Deferred tax recognised in equity	-	-	89	-	89
As at 31 March 2023	20	1,322	106	3,603	5,051

The accompanying notes form part of these financial statements.

Notes to the financial statements (forming part of the financial statements)

1 Accounting policies

Alpha FMC Bidco Limited (the "Company") is a Company limited by shares, domiciled and registered in the UK. The registered number is 09928343 and the registered address is 60 Gresham Street, London, EC2V 7BB.

These financial statements were prepared in accordance with Financial Reporting Standard 101 Reduced Disclosure Framework ("FRS 101").

In preparing these financial statements, the Company applies the recognition, measurement and disclosure requirements of International Financial Reporting Standards ("Adopted IFRSs"), but makes amendments where necessary in order to comply with Companies Act 2006 and has set out below where advantage of the FRS 101 disclosure exemptions has been taken.

The Company's ultimate parent undertaking, Alpha Financial Markets Consulting Plc, includes the Company in its consolidated financial statements. The consolidated financial statements of Alpha Financial Markets Consulting Plc are available to the public and may be obtained from 60 Gresham Street, London, EC2V 7BB or on the website at alphafmc.com/investors.

In these financial statements, the Company has applied the exemptions available under FRS 101 in respect of the following disclosures:

- a cash flow statement and related notes;
- comparative period reconciliations for share capital, tangible fixed assets, intangible assets and investment properties;
- disclosures in respect of transactions with wholly owned subsidiaries;
- disclosures in respect of capital management;
- the effects of new but not yet effective IFRS;
- disclosures in respect of the compensation of key management personnel;
- disclosures of transactions with a management entity that provides key management personnel services to the Company; and
- disclosures of related party transactions.

As the consolidated financial statements of Alpha Financial Markets Consulting plc include the equivalent disclosures, the Company has also taken the exemptions under FRS 101 available in respect of the following disclosures:

- IFRS 2 Share-based Payment in respect of Group settled share-based payments; and
- Certain disclosures required by IFRS 16 Leases in relation to disclosure of the Company's leasing activities.

The accounting policies set out below have, unless otherwise stated, been applied consistently to all periods presented in these financial statements.

In applying the Company's accounting policies, the Directors have not made any judgements that have a significant effect on the financial statements. There are no major sources of estimation uncertainty at the end of the reporting period that have a significant risk of resulting in a material adjustment to the carrying amounts of assets and liabilities within the next financial year.

1.1 Basis of preparation

These financial statements have been prepared on the historical cost basis, except for certain financial instruments that are measured at fair value.

The presentational currency of these financial statements and the functional currency of the Company is pounds sterling. All amounts in these financial statements have been rounded to the nearest £1,000, unless stated otherwise.

1.2 Going concern

In assessing the Company's ability to continue on a going concern basis for a period of at least 12 months from the approval of these financial statements (the "going concern period"), the Directors considered the Company's projected cash flows, access to intercompany funding from other Group entities, cash liquidity and existing borrowing facilities.

Notes to the financial statements (continued)

1 Accounting policies (continued)

1.2 Going concern (continued)

Notwithstanding net current liabilities of £154,225,000 as at 31 March 2023, the financial statements have been prepared on a going concern basis. The Directors consider this to be appropriate on the basis of cash flow forecasts prepared for the wider Group, which support the ability of the Company to operate as a going concern. The Group prepared cash flow forecasts covering the going concern period. The Directors of the Group considered the principal risks and mitigants and analysed a range of cash flow downside scenarios including a "reverse-stress test" scenario. This models the decline in sales that the Group would be able to absorb over the going concern period before utilising all of the existing cash reserves available. The Directors consider this scenario and the sequence of events that could lead to it to be remote, as it requires annualised revenue reductions of close to 40% compared to the base case, before modelling any mitigating actions, including cost reductions. Refer to p. 94 of the Group's 'Annual Report & Accounts 2023' for further details.

The ability of the Company to settle its liabilities as they fall due within the going concern period is dependent on the Company's ultimate parent company, Alpha Financial Markets Consulting plc, not seeking repayment of the amounts currently due to other companies controlled by the Group, which at 31 March 2023 amounted to £179,271,000. The Company also has access to additional funding through other Group entities, via the Group's revolving credit facility ("RCF") of £50.0m, and the strength of the Group's cash position. As with any company placing reliance on other group entities for financial support, the Directors acknowledge that there can be no certainty that this support will continue although, at the date of approval of these financial statements, they have no reason to believe that it will not do so.

After careful consideration, the Directors have a reasonable expectation that the Company's existing resources, supplemented by the support of the wider Group, are adequate to meet its requirements over the going concern period. On this basis, the Directors consider that it is appropriate to adopt the going concern basis in preparing the financial statements.

1.3 Foreign currency

Transactions in foreign currencies are translated to the Company's functional currency at the average foreign exchange rate in the month of the transaction. Monetary assets and liabilities denominated in foreign currencies at the balance sheet date are retranslated to the functional currency at the foreign exchange rate ruling at that date. Non-monetary assets and liabilities that are measured in terms of historical cost in a foreign currency are translated using the average exchange rate in the month of the transaction and are not retranslated. Foreign exchange differences arising on translation to functional currency are recognised in administration expenses.

1.4 Financial instruments

The Company uses financial instruments comprising cash and cash equivalents and other short-term instruments, such as trade payables that arise from its operations. The main purpose of these financial instruments is to fund the Company's business strategy and working capital requirements.

Accounting policies in respect of financial instruments are outlined below.

Financial assets

Financial assets are initially measured at fair value plus or minus, in the case of a financial asset not at fair value through profit or loss, transaction costs. The Company has not reclassified any financial assets subsequent to initial recognition as at the balance sheet date. Reclassification of classes of financial assets is accounted for prospectively in accordance with IFRS 9, where this is required. Any difference on reclassification from amortised cost to fair value through profit or loss is recognised in the profit and loss at the reclassification date.

Notes to the financial statements (continued)

1 Accounting policies (continued)

1.4 Financial instruments (continued)

Financial assets are assessed at each reporting date to determine a lifetime expected credit loss that reflects the credit risk associated with the portfolio of assets. A financial asset is impaired in line with the simplified approach under IFRS 9 which uses a lifetime expected loss allowance.

The Company recognises an expected credit loss provision in relation to financial assets. The simplified method is applied to the Company's trade receivables as described below. The Company's expected credit loss provision on all other financial assets is immaterial as the probability of default is low. Movements in the expected credit loss provision are recognised in profit or loss.

Amounts owed by Group undertakings

Amounts owed by Group undertakings are recognised initially at fair value and subsequently measured at amortised cost, less provision for impairment. A provision for impairment of intercompany receivables is established using an expected credit loss model. The Company classifies all intercompany receivables that form a part of the normal trading cycle of the Company as current, as well as non-trading balances where the counterparty has sufficient resources to settle the balance within a twelve month period from the balance sheet date. All other amounts owed by Group undertakings are considered as non-current assets.

Cash and cash equivalents

Cash and cash equivalents comprise cash balances and call deposits and are recorded and subsequently measured at amortised cost in line with IFRS 9.

Financial liabilities

Financial liabilities at fair value through profit or loss include financial liabilities held for trading and financial liabilities designated upon initial recognition as at fair value through profit or loss. Financial liabilities are classified as held for trading if they are acquired for the purpose of selling in the near term. This category includes derivative financial instruments entered into by the Company that are not designated as hedging instruments in hedge relationships as defined by IFRS 9. As at 31 March 2023, the Company had no derivative financial instruments or designated hedge relationships.

Other financial liabilities held by the Company are recognised at amortised cost.

Trade and other payables

Trade and other payables are initially recognised at fair value, equal to the transaction price, and are subsequently measured at amortised cost. Trade payables due within one year are not discounted.

Amounts owed to Group undertakings

Amounts owed to Group undertakings are recognised initially at fair value and subsequently measured at amortised cost. Balances due within one year are not discounted.

Investments in subsidiaries

Investments in subsidiaries are stated at cost less any provision for impairment. The Company monitor for indicators of impairment at each reporting period, and a full impairment assessment is performed on an annual basis.

The Directors have deemed that no impairment was required in both the current and prior years.

Interest-bearing borrowings

Interest-bearing borrowings are recognised initially at fair value less attributable transaction costs. Subsequent to initial recognition, interest-bearing borrowings are stated at amortised cost using the effective interest method, less any impairment losses.

Notes to the financial statements (continued)

1 Accounting policies (continued)

1.5 Property, plant and equipment

All property, plant and equipment are stated at historical cost (or deemed historical cost) less accumulated depreciation. Cost includes the original purchase price of the asset and the costs attributable to bringing the asset to its working condition for its intended use.

Depreciation is provided on all property, plant and equipment at rates calculated to write each asset down to its estimated residual value on a straight-line basis at the following annual rates:

Computer equipment	3 years
Fixtures and fittings	3 - 4 years

Useful economic lives and estimated residual values are reviewed annually and adjusted as appropriate.

1.6 Impairment (non-financial assets)

The carrying amounts of the entity's non-financial assets, other than deferred tax assets, are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, then the assets' recoverable amount is estimated. The recoverable amount of an asset or cash-generating unit is the greater of its value in use and its fair value, less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset.

For the purposes of impairment testing, assets that cannot be tested individually are grouped together into the smallest group of assets that generates independent cash inflows (the "cash-generating unit"); that is, cash inflows from continuing use that are largely independent of the cash inflows of other assets or groups of assets.

An impairment loss is recognised if the carrying amount of an asset or its cash-generating unit ("CGU") exceeds its estimated recoverable amount. Impairment losses are recognised in profit or loss. Impairment losses are allocated between the carrying amounts of other assets in the unit (or group of units) on a pro-rata basis as a reduction in the value of the asset.

An impairment loss is reversed if and only if the reasons for the impairment have ceased to apply.

Impairment losses recognised in prior periods are assessed at each reporting date for any indication that the loss has decreased or no longer exists. An impairment loss is only reversed to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised.

1.7 Provisions

Provisions are distinct from other liabilities as there is uncertainty over the timing or amount of the cash outflow required to settle the liability. Provisions are measured at the present value of the expenditure expected to be required to settle the obligation. These are discounted to present value using an appropriate pre-tax discount rate, where the time value of money is material. Refer to note 15 for detail of classes of provisions and further detail on material assumptions.

1.8 Employee benefits

Defined contribution plans

A defined contribution plan is a post-employment benefit plan under which the Company pays fixed contributions into a separate entity and will have a legal or constructive obligation to pay further amounts. Contributions to defined contribution schemes are charged to the statement of comprehensive income as they become payable in accordance with the rules of the scheme. Differences between contributions payable in the year and contributions paid are shown as either accruals or pre-payments in the statement of financial position.

Share-based payments

The cost of share-based employee compensation arrangements, whereby employees receive remuneration in the form of shares or share options, is recognised as an employee benefit expense in the statement of profit or loss.

The total expense to be apportioned over the vesting period of the benefit is determined by reference to the fair value (excluding the effect of non-market-based vesting conditions) at the date of grant.

Notes to the financial statements (continued)

1 Accounting policies (continued)

1.8 Employee benefits (continued)

In determining the fair value of share-based payments under IFRS 2, management has considered a number of internal and external factors in order to judge the probability that management and employee share incentives may vest. Such judgements involve estimating future performance and other non market-based factors.

At the end of each reporting period the assumptions underlying the number of awards expected to vest are adjusted for the effects of non-market-based vesting conditions to reflect the conditions prevailing at that date. The impact of any revisions to the original estimates is recognised in the statement of profit or loss, with a corresponding adjustment to the amounts owed to Group undertakings. Fair value is measured by the use of a binomial model. The assumptions have been adjusted, based on management's best estimate, for the effects of non-transferability, lack of dividend until vesting and exercise restrictions.

The fair value calculations in both the current and prior years have been externally assessed as reasonable in the circumstances.

After vesting, the Company's ultimate parent satisfies share option exercises either through the issuance of new ordinary shares, or through the transfer of existing shares held in the Company's EBT to the employee. Any share options not exercised upon vesting remain outstanding until the end of the contracted exercise period.

Regarding the share-based payments charge relating to employees of the Company, there is an intra-group recharge arrangement with the Company's ultimate parent undertaking, to reflect the benefits received by the respective entity in relation to employees granted share options. The Company is considered to be the receiving entity in the arrangement, in line with the benefit received for services provided through ongoing employment. The Company's ultimate parent undertaking is deemed to be the settling entity in the intra-Group arrangement, as share options granted are in relation to ordinary shares of the parent, and recognises the share-based payments charge for the full Group in other reserves.

Share-based payment charges relating to employees who provide services directly to the Company are recorded within the profit and loss account in the form of a management recharge from the ultimate parent.

The Company's management and employees have access to an equity settled share-based payment arrangement for new employees which forms a part of the wider schemes offered across the Group, which are settled in Alpha Financial Markets Consulting Plc shares. The Company has two distinct schemes, the 'Management Incentive Plan' ("MIP") and the 'Employee Incentive Plan' ("EIP"). These are described below.

The Management Incentive Plan

The Company has a management incentive plan to retain and incentivise directors and senior management. The MIP consists of four parts: part A of which will enable the granting of enterprise management incentive and non-tax advantaged options to acquire shares; part B of which will enable the awarding of JSOPs; part C of which will enable the awarding of restricted stock units ("RSUs") for participants in the US; and part D of which will enable the awarding of RSUs in France (together the "options").

In prior periods, the majority of options granted to certain directors and senior management of the Company were subject to the fulfilment of three or more of the following performance conditions: (a) the Group achieving adjusted EPS growth of 15.0% or more to trigger a maximum award, or 10.0% to trigger a 66% award, with a linear application of awards between these levels; (b) the Group achieving a TSR over three years in excess of the mean total shareholder return ("TSR") delivered by a peer group of comparable companies; (c) personal adherence to corporate values and risk policy; and (d) specific business unit EBITDA, or other personal targets and goals. In FY 21, in response to COVID-19, options granted were subject to more flexible performance criteria, including local budget targets and a variety of stretching personal sales or other targets. In FY 22, the performance conditions of options granted in that year returned to the previous award criteria.

As disclosed last year, the Group's Remuneration Committee approved performance conditions for FY 23 awards, which further modified the adjusted EPS growth range set out above to reflect the growth of the Group since AIM admission. The criteria for these share incentive awards to certain directors and senior management of the Company, depending on the individual and their role, include: (a) the Group achieving adjusted EPS growth of 11.25% or more to trigger a maximum award, or 7.5% to trigger a 66% award, with a linear application of awards between these levels; (b) personal adherence to corporate values and risk policy; and (c) specific business unit EBITDA, or other personal targets and goals.

Some of these share incentive awards also contain a market condition requiring the Company to achieve a TSR over three years in excess of the mean TSR delivered by a peer group of comparable companies.

Notes to the financial statements (continued)

1 Accounting policies (continued)

1.8 Employee benefits (continued)

MIP awards have either nominal or minimal exercise price payable in order to acquire shares pursuant to options. MIP awards have either three- or four-year vesting periods from the date of grant and can be equity settled only.

The Employee Incentive Plan

Under the EIP, a broad base of the Group's employees has been granted share options or share awards over a small number of shares. The EIP is structured as is most appropriate under the local tax, legal and regulatory rules in the key jurisdictions and therefore varies between those jurisdictions. No EIP awards were made in the current or prior years.

Further disclosure of these schemes is provided within the Group's consolidated 2023 Annual Report & Accounts, and the share-based payment arrangement concerns equity instruments of the Company's ultimate parent company, Alpha Financial Markets Consulting Plc, and therefore the Directors have applied disclosure exemptions for the subsidiary accounts as permitted under FRS 101.

1.9 Administration expenses

Administration expenses are defined by management as costs incurred by the Company that are not directly associated with the generation of revenue. This includes items such as head office staff costs, recruitment and professional fees and IT services, which are expensed as incurred. Administration expenses exclude finance income and expenses and taxation, which are presented separately in the profit and loss account.

1.10 Finance income and finance expense

Finance income includes interest receivable on cash invested. Finance expense includes interest payable, unwinding of the discount on provisions, and discount unwinding associated with leases within the scope of IFRS 16.

Interest income and interest payable on bank loans or amounts due to certain Group undertakings is recognised in profit or loss as it accrues, using the effective interest method.

1.11 Dividends

Dividend income

Dividend income is recognised in the profit and loss account on the date the entity's right to receive the dividend is established.

Dividends payable

Dividends payable are recognised in the statement of changes in equity on the date the entity's obligation to pay the dividend is established.

1.12 Taxation

Taxation expense on the result for the year comprises current and deferred tax. Current and deferred tax is recognised in the profit & loss account, except to the extent that it relates to items recognised directly in equity, in which case it is recognised in equity.

Current tax is the expected tax payable or receivable on the taxable income for the period, using tax rates enacted or substantively enacted at the balance sheet date, and any adjustment to tax payable in respect of previous periods.

Deferred tax is provided using the balance sheet liability method, providing for temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. The amount of deferred tax provided is based on the expected manner of realisation or settlement of the carrying amount of assets and liabilities, using tax rates enacted or substantively enacted at the balance sheet date.

The carrying amount of deferred tax assets is reviewed at each balance sheet date and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the asset to be recovered. Deferred tax assets and liabilities are offset when there is a legally enforceable right to set off current tax assets against current tax liabilities, and when they relate to taxes levied by the same taxation authority and the Company intends to settle its current tax assets and liabilities on a net basis.

Notes to the financial statements (continued)

1 Accounting policies (continued)

1.13 New accounting standards and interpretations

The following changes in accounting policies were applied by the Company in these financial statements for the year ended 31 March 2023. These included the adoption of new standards and interpretations described below.

The International Accounting Standards Board (IASB) and IFRS Interpretations Committee (IFRIC) have issued the following standards and interpretations which are now effective:

- Reference to the Conceptual Framework (Amendments to IFRS 3), effective from 1 January 2022;
- Property, Plant and Equipment – Proceeds before Intended Use (Amendments to IAS 16), effective from 1 January 2022;
- Onerous Contracts – Cost of Fulfilling a Contract (Amendments to IAS 37), effective from 1 January 2022; and
- Annual Improvements to IFRS Standards 2018-20 Cycle, effective from 1 January 2022.

The Directors reviewed the nature and effect of these new standards on the Company and noted no material impact on the financial statements for the year ended 31 March 2023.

The Directors have considered new standards and interpretations that have been issued but not yet been effective, however have applied the exemption not to disclose this information under FRS 101.

2 Auditor's remuneration

	FY 23 £000	FY 22 £000
Audit of these financial statements	<u>38</u>	<u>26</u>

Amounts receivable by the Company's auditor and its associates in respect of services to the Company and its associates, other than the audit of the Company's financial statements, have not been disclosed as the information is required instead to be disclosed on a consolidated basis in the consolidated financial statements of the Company's parent, Alpha Financial Markets Consulting plc.

3 Staff numbers and costs

The average number of persons employed by the Company (including Directors) during the year, analysed by category, was as follows:

	Average number of employees FY 23	FY 22
Administrative	72	42
Sales	1	2
Average number of employees in the year	<u>73</u>	<u>44</u>

The aggregate payroll costs of these persons were as follows:

	FY 23 £000	FY 22 £000
Wages, salaries and short-term benefits	6,855	5,413
Social security costs	835	557
Contributions to defined contribution plans	121	187
Total staff costs for the year	<u>7,811</u>	<u>6,157</u>

Notes to the financial statements (continued)

3 Staff numbers and costs (continued)

At the year end, 281,270 (FY 22: 144,034) share options over the equity in Alpha Financial Markets Consulting plc, the parent company, remained outstanding to the Company's management and employees. The weighted average remaining contractual period to vest for outstanding share options is one year. All share options outstanding at the year end date have a nominal exercise price. During the year 27,424 share options vested (FY 22: nil), of which 21,819 were exercised during the year. No further share options were exercised in the year relating to awards that vested in the comparative period. The Company has incurred a charge to the profit & loss account in FY 23 of £199,000 (FY 22: £218,000) relating to these schemes under IFRS 2 for employees and management that provide direct services to the Company, of which £14,000 (FY 22: £46,000) relates to associated social security taxes.

4 Directors' remuneration

Directors' remuneration

	FY 23 £000	FY 22 £000
Directors' remuneration	145	-
Company contributions to money purchase pension plan	11	-

During the year ended 31 March 2023, one director providing material qualifying services exercised share options.

	Number of Directors	
	FY 23	FY 22
Benefits are accruing to the following number of Directors under:		
Money purchase schemes (retirement benefits)	1	-
Long term share incentive plan	1	-

Amounts paid or payable to certain of the Company's Directors through other Group companies have been excluded from the above disclosure and included within the disclosures of other Group companies, on the basis that their services are predominantly provided to other Group companies.

5 Other operating income

	FY 23 £000	FY 22 £000
Group recharges	15,092	10,589
Total other operating income	15,092	10,589

6 Finance expense

	FY 23 £000	FY 22 £000
Interest payable	9	-
Total finance expense	9	-

7 Income from shares in Group undertakings

	FY 23 £000	FY 22 £000
Dividend income	19,800	12,500
Total income from shares in Group undertakings	19,800	12,500

Notes to the financial statements (continued)

8 Taxation

	FY 23		FY 22	
	£000	£000	£000	£000
<i>Current tax</i>				
Current tax on income for the period		(5)		-
Group relief payable/(receivable)		157		(181)
Adjustments in respect of prior periods		100		-
Total current tax		252		(181)
<i>Deferred tax (see note 9)</i>				
Origination and reversal of timing differences	(3)		10	
Effect of tax rate change on opening balance	13		(1)	
Adjustments in respect of prior periods	(112)		(2)	
		(102)		7
		150		(174)

An increase in the UK corporation tax rate from 19% to 25% (effective 1 April 2023) was substantively enacted during the prior year on 24 May 2021. In FY 24, this change will increase the Company's current tax charge accordingly.

The difference between the total tax expense shown above and the amount calculated by applying the standard rate of UK corporation tax to the profit before tax is as follows:

	FY 23	FY 22
	£000	£000
Profit before taxation	20,616	10,923
Tax using the UK corporation tax rate of 19% (FY 22: 19%)	3,917	2,075
Fixed asset differences	(4)	(4)
Adjustments in respect of prior periods (current tax)	100	-
Adjustments in respect of prior periods (deferred tax)	(112)	(2)
Income not taxable for tax purposes	(3,825)	(2,375)
Non-deductible expenses	74	132
Group relief (received)/surrendered	(157)	181
Payment/(receipt) for group relief	157	(181)
Total tax expense/(income) for the year	150	(174)

Income not taxable for tax purposes in the table above predominantly relates to dividend income.

In addition to the tax expense for the year ended 31 March 2023, the Company has also recognised a total of £106k (FY 22: £nil) of tax through equity, of which £17k (FY 22: £nil) relates to current tax on the exercise of share options in the year and £89k (FY 22: £nil) relates to deferred tax on share options outstanding.

9 Deferred tax

Movements in deferred tax

As at 31 March 2023	1 April 2022	Recognised in Income	Recognised in equity	31 March 2023
	£000	£000	£000	£000
Accelerated capital allowances	(7)	(7)	-	(14)
Short-term timing differences	3	27	-	30
Share options	-	82	89	171
Net deferred tax (liability)/asset	(4)	102	89	187
As at 31 March 2022	1 April 2021	Recognised in Income	Recognised in equity	31 March 2022
	£000	£000	£000	£000
Accelerated capital allowances	-	(7)	-	(7)
Short-term timing differences	3	-	-	3
Net deferred tax asset/(liability)	3	(7)	-	(4)

The Company has no unrecognised tax losses in addition to the deferred tax assets above (FY 22: £nil).

Notes to the financial statements (continued)

10 Fixed asset investments

	Shares in Group undertakings £000
At 31 March 2023 & 31 March 2022	77,378

The undertakings in which the Company had interest at the year end of more than 20% are as follows:

Subsidiary undertakings	Country of Incorporation	Registered address	Principal activity	Class and percentage of shares held - 31 March 2023	Class and percentage of shares held - 31 March 2022
Alpha FMC Group Holdings Limited	UK	1	Intermediate holding company	100% ordinary	100% ordinary
Alpha FMC Group Nominees Limited	UK	1	Group services	100% ordinary	100% ordinary
Alpha FMC Group Limited	UK	1	Intermediate holding company	100% ordinary	100% ordinary
Alpha Financial Markets Consulting Group Limited	UK	1	Intermediate holding company	100% ordinary	100% ordinary
Alpha Financial Markets Consulting UK Limited	UK	1	Consultancy services	100% ordinary	100% ordinary
Alpha Technology Services Consulting Limited	UK	1	Dormant	100% ordinary	100% ordinary
Aviq Limited ¹	UK	1	Consultancy services	100% ordinary	100% ordinary
Alpha Financial Markets Consulting, Inc.	USA	2	Consultancy services	100% ordinary	100% ordinary
Alpha Financial Markets Consulting S.A.S.	France	3	Consultancy services	100% ordinary	100% ordinary
Alpha Financial Markets Consulting (Insurance) France S.A.S.	France	3	Consultancy services	100% ordinary	100% ordinary
Alpha Financial Markets Consulting (Luxembourg) S.A.	Luxembourg	4	Consultancy services	100% ordinary	100% ordinary
Alpha Financial Markets Consulting Netherlands B.V.	Netherlands	5	Consultancy services	100% ordinary	100% ordinary
Alpha Financial Markets Consulting Switzerland S.A.	Switzerland	6	Consultancy services	100% ordinary	100% ordinary
Alpha Financial Markets Consulting Germany GmbH ²	Germany	7	Consultancy services	100% ordinary	100% ordinary
Alpha Financial Markets Consulting Singapore Pte. Ltd.	Singapore	8	Consultancy services	100% ordinary	100% ordinary
Alpha Financial Markets Consulting Hong Kong Limited	Hong Kong	9	Consultancy services	100% ordinary	100% ordinary
Alpha Financial Markets Consulting Australia PTY Limited	Australia	10	Consultancy services	100% ordinary	100% ordinary
Aoxsys Limited	UK	11	Consultancy services	100% ordinary	100% ordinary
Aoxsys Financial Software Consulting Canada Limited	Canada	12	Consultancy services	100% ordinary	100% ordinary
Aoxsys Consulting USA Inc.	USA	13	Consultancy services	100% ordinary	100% ordinary
Aoxsys Danmark ApS	Denmark	14	Consultancy services	100% ordinary	100% ordinary
Obsidian Solutions Limited	UK	1	Consultancy services	100% ordinary	100% ordinary
Alpha Technology Services Consulting S.A.S.	France	3	Consultancy services	100% ordinary	100% ordinary
Obsidian Alpha Data Solutions LLC	Serbia	15	Consultancy services	100% ordinary	100% ordinary
Alpha FM Consulting Canada Inc.	Canada	16	Consultancy services	100% ordinary	100% ordinary
Lionpoint Holdings, Inc.	USA	17	Consultancy services	100% ordinary	100% ordinary
Lionpoint Group, LLC.	USA	18	Consultancy services	100% ordinary	100% ordinary
Lionpoint Group (UK) Limited	UK	19	Consultancy services	100% ordinary	100% ordinary
Lionpoint Group SA	Switzerland	20	Consultancy services	100% ordinary	100% ordinary
Lionpoint Group Pty Limited	Australia	21	Consultancy services	100% ordinary	100% ordinary
Lionpoint GmbH	Germany	22	Consultancy services	100% ordinary	100% ordinary
Alpha Data Solutions Limited	UK	1	Dormant	100% ordinary	N/A
Alpha Financial Markets Group Spain S.L.U.	Spain	23	Consultancy services	100% ordinary	N/A
Alpha FMC (Newco) Limited	UK	1	Dormant	100% ordinary	N/A

¹ Aviq Limited (formerly Alpha Data Solutions Limited) changed its name in FY 23.

² TrackTwo GmbH has changed its name to Alpha Financial Markets Consulting Germany GmbH.

Notes to the financial statements (continued)

10 Fixed asset investments (continued)

Registered addresses:

1. 60 Gresham Street, London, EC2V 7BB, UK
2. 12 East 49th Street, New York, NY 10017, USA
3. 6 Square de L'Opera Louis Jouvet, 75009 Paris, France
4. 19/21 Route d'Arion - bloc B, L-8009 Strassen, Luxembourg
5. Strozzeilaan 101, Amsterdam, 1083 HN, The Netherlands
6. Stockerstrasse 55, 8002 Zürich, Switzerland
7. Kurt- Blaum- Platz 8 63450, Hanau, Germany
8. 6A Shenton Way #04-01 Downtown Gallery, Singapore 068815
9. 22/F Neich Tower, 128 Gloucester Road, Wanchai, Hong Kong
10. Quay Quarter Tower, 50 Bridge Street, Sydney NSW 2000, Australia
11. New Broad Street House, 35 New Broad Street, London, EC2M 1NH, UK
12. 1800-13401 108th Avenue, Surrey, British Columbia V3T 5T3, Canada
13. Incomp Services, Inc., One Commerce Center, 1201 Orange Street #600, Wilmington, Delaware 19899, USA
14. Flaesketoeriet 68, DK-1711 Copenhagen, Denmark
15. Dvadesetsedmog marta 6-6a, 11060 Palilula, Belgrade, Serbia
16. Suite 1700, Park Place, 666 Burrard Street, Vancouver, BC V6C2X8, Canada
17. 251 Little Falls Drive, Wilmington, Delaware 19808-1674, USA
18. 8 The Green, Suite A, Dover, Delaware 19901, USA
19. 5 Upper St. Martin's Lane, London WC2H 9EA, USA
20. Rue d'Italie 11, 1204 Geneva, Switzerland
21. Ground Floor, 123 Walker Street, North Sydney NSW 2060, Australia
22. c/o KUNZ Rechtsanwälte, Antoniterstraße 14-16, Köln, 50667, Germany
23. PP/DE LA CASTELLANA número 18 7º, 28046, Madrid, Spain

11 Property, plant and equipment

	Computer equipment £000	Fixtures & fittings £000	Total £000
Cost			
Balance at 1 April 2022	420	1	421
Additions	74	-	74
Disposals	-	-	-
Balance at 31 March 2023	494	1	495
Depreciation and Impairment			
Balance at 1 April 2022	(343)	(1)	(344)
Depreciation charge for the year	(55)	-	(55)
Disposals	-	-	-
Balance at 31 March 2023	(398)	(1)	(399)
Net book value			
At 31 March 2023	96	-	96
At 1 April 2022	77	-	77

12 Trade and other receivables

	FY 23 £000	FY 22 £000
Amounts owed by Group undertakings	27,143	13,120
Other debtors	381	310
Prepayments	1,301	501
	28,825	13,931

Notes to the financial statements (continued)

12 Trade and other receivables (continued)

The Directors are satisfied that all outstanding amounts from subsidiary group undertakings are recoverable. Expected credit loss in relation to amounts owed by Group undertakings was immaterial in both the current and prior years.

Amounts owed by Group undertakings are interest free and are repayable on demand. The Company classifies all intercompany receivables that form a part of the normal trading cycle of the Company as current, as well as non-trading balances where the counterparty has sufficient resources to settle the balance within a twelve-month period from the balance sheet date. All other amounts owed by Group undertakings are considered as non-current assets. Of a total of £108,987,000 (FY 22: £85,080,000) of amounts owed by Group undertakings, the Company recognised £81,843,000 (FY 22: £71,960,000) within non-current assets and £27,143,000 (FY 22: £13,120,000) within current assets.

13 Cash and cash equivalents

	FY 23 £000	FY 22 £000
Cash at bank	2,256	123
Cash and cash equivalents	<u>2,256</u>	<u>123</u>

All cash and cash equivalents held by the Company are available for use by the Company with no restrictions.

14 Trade and other payables

	FY 23 £000	Restated ³ FY 22 £000
Trade payables	1,144	728
Amounts owed to Group undertakings	179,271	153,689
Other payables	557	556
Taxation and social security	226	188
Accruals	2,721	2,674
Social security tax on share options	31	12
	<u>183,950</u>	<u>157,847</u>

Amounts owed to Group undertakings are either interest-bearing or non-interest-bearing depending on the type of the creditor relationship and local regulatory requirements. At the balance sheet date the majority of these balances are non-interest-bearing. All amounts owed to Group undertakings are repayable on demand.

15 Provisions

	Social security tax provisions £000	Legal and other provisions £000	Total £000
Balance at 1 April 2022	1,400	403	1,803
Utilised	-	(138)	(138)
Released	-	(100)	(100)
Balance as at 31 March 2023	<u>1,400</u>	<u>165</u>	<u>1,565</u>

The social security tax provision of £1.4m (FY 22: £1.4m) relates to historical pre-AIM admission potential tax treatments. Legal and other provisions include £0.2m relating to ongoing legal claims.

The Company has not recognised any additional provisions in the year. The movements in the year reflect satisfactory conclusions to certain matters. The balance of provisions at 31 March 2023 represents the most probable outcome of these claims at the balance sheet date.

Given the uncertainty, a range of outcomes is possible in relation to these provisions. The Directors consider the cash outflows in relation to recognised provisions could reasonably range up to £2.5m. The carrying value of the provisions disclosed above is a reasonable approximation of their fair value.

³ Trade and other payables in the FY 22 comparative period have been re-presented within this note to disclose separately the taxation and social security liability of £188,000, previously included within accruals.

Notes to the financial statements (continued)

16 Other non-current liabilities

	FY 23 £000	FY 22 £000
Accruals	-	489
Social security tax on share options	41	52
Total other non-current liabilities	<u>41</u>	<u>541</u>

17 Capital and reserves

Share capital

	FY 23 £000	FY 22 £000
<i>Allotted, called up and fully paid</i>		
20,000 ordinary shares of £1 each	<u>20</u>	<u>20</u>
Balance at the end of year	<u>20</u>	<u>20</u>

The holders of ordinary shares are entitled to receive dividends as declared from time to time and are entitled to one vote per share at meetings of the Company.

Share premium account

The balance classified as share premium of £1,322,000 relates to the aggregate net proceeds less the nominal value of the Company's issued share capital.

Dividend

An interim dividend in respect of the year ended 31 March 2023 of £18,800,000 (FY 22: £8,500,000) was paid to Alpha FMC Midco 2 Limited to facilitate the Group dividend payments made by the Company's ultimate parent, Alpha Financial Markets Consulting plc, to its shareholders. This dividend was facilitated by the receipt of dividends of £19,800,000 (FY 22: £12,500,000) from the Company's directly owned subsidiary, Alpha FMC Group Holdings Limited. The Directors have not recommended the payment of a final dividend (FY 22: £nil).

18 Related parties

The Company has not engaged in any transactions with any related parties other than with wholly owned subsidiaries within the Alpha Group, and remuneration of the Company's key management personnel. These transactions have not been disclosed as the Company has taken advantage of exemptions under FRS 101.

19 Ultimate parent company

The Company is a subsidiary undertaking of Alpha Financial Markets Consulting plc, incorporated in England and Wales. The ultimate controlling party is Alpha Financial Markets Consulting plc.

Both the largest and smallest Group in which the results of the Company are consolidated is that headed by Alpha Financial Markets Consulting plc, incorporated in England and Wales. The consolidated financial statements of the Group are available to the public and may be obtained from 60 Gresham Street, London EC2V 7BB, or the website investors.alphafmc.com.

20 Events after the reporting period

In October 2023, a number of transactions were undertaken as part of a project to simplify the holding company structure within the Alpha Group. These transactions included:

- Issue of new B ordinary shares with an aggregate nominal value of £7 to the Company's immediate parent company, Alpha FMC Midco 2 Limited, and the subsequent redemption of the Company's existing preference shares with an aggregate nominal value of approximately £7.
- Transfer of the entire issued share capital of the Company from Alpha FMC Midco 2 Limited to Alpha Financial Markets Consulting plc, the ultimate parent company within the Alpha Group.
- Receipt of a bonus issue of shares with a total value of £28.4m from Alpha FMC Group Holdings Limited.
- Receipt of a distribution in specie of shares with a total carrying value of £22.4m in fellow Alpha Group companies, Alpha FMC Group Limited and Alpha FMC Group Nominees Limited, from the Company's direct subsidiary, Alpha FMC Group Holdings Limited.
- Receipt of a distribution in specie of intercompany receivables with a carrying value of £7.1m from Alpha FMC Group Holdings Limited.
- Subscription for ordinary shares with an aggregate nominal value and total subscription price of £33.7m in Alpha FMC Group Holdings Limited.

Notes to the financial statements (continued)

20 Events after the reporting period (continued)

- Receipt of a distribution in specie of shares with a total carrying value of £33.8m in a fellow Alpha Group company, Alpha Financial Markets Consulting Group Limited, from the Company's direct subsidiary, Alpha FMC Group Limited.
- Issue of ordinary shares with an aggregate nominal value and total subscription price of £68.1m to the Company's immediate parent company, Alpha Financial Markets Consulting plc.
- Capital reduction of £69.4m, reducing the Company's share capital to £1 and share premium to nil.
- Distribution in specie of shares with a total carrying value of £133.5m in Alpha FMC Group Limited and Alpha FMC Group Holdings Limited to Alpha Financial Markets Consulting plc.

Following these transactions, the Company's immediate parent company is now Alpha Financial Markets Consulting plc, and the Company's only direct subsidiary is Alpha Financial Markets Consulting Group Limited. The Company's previous subsidiaries, Alpha FMC Group Limited and Alpha FMC Group Holdings Limited, are now owned directly by Alpha Financial Markets Consulting plc.